WORKSHEET 3 OF 7

Sample Documents

Copy these pages. They go with chapter 14, "One Deal, Start to Finish".

> **Samples, not forms.** Every document here is written for the made-up printing plant in chapter 14. No real property, owner, utility or company is described. Each is marked "Sample. Have your broker and attorney adapt it." Take that literally. Your brokerage has its own forms, your state has its own rules, and the two outlines at the end are lists of business points for an attorney to draft from. They are not contract language. Any number shown is an illustrative number, not market data.

The six samples, in the order a deal uses them:

1. The first-call note, for an owner who says "not now".
2. The thank-you note after the walk.
3. The owner's load inquiry letter to the utility.
4. The one-page building fact file, filled in.
5. A non-disclosure agreement outline.
6. A letter of intent outline with a utility contingency.

1. The first-call note

Sample. Have your broker and attorney adapt it.

When to use it. The owner said no, or said "send me something". Chapter 9 promises this note. It is one page, it asks for nothing, and it tells the owner exactly what you were looking for.

> [Date]
>
> Dear [Owner],
>
> Thank you for taking my call about your building on [street]. You said the timing is not right, and I will not call again unless you ask me to. Here, in one page, is what I was looking for.
>
> **Why your building.** It came up in the public property records because of what it was built for. Buildings made for heavy industry sometimes have three things that are hard to find together: a large electrical service, a strong ground-level floor and open yard.

Why now. Companies that run artificial intelligence computers are reported to be looking for existing buildings that already have heavy power. Most buildings will not qualify. A few will, and their owners will know something about their property that most owners do not.

What I would ask for. Twenty minutes with you in the main electrical room, without opening anything, and one electric bill from a year when the building was running at full production.

What you would get. A plain written summary of what is there, and a list of the questions that only your utility and a licensed engineer can answer. If the building does not look like a fit, I will tell you why.

What I am not saying. I do not have a buyer. I am not quoting a price. I am not telling you how much power the building can get. Only the utility can say that.

If this is ever useful, my number is below.

[Name], [license type], [brokerage], [phone], [email]

2. The thank-you note after the walk

Sample. Have your broker and attorney adapt it.

When to use it. The same day as the visit. Chapter 9 says to state what you saw in plain terms, list what the owner offered to look for, and say what you will do next and by when.

[Date]

Dear Frank,

Thank you for showing me the building this morning. Here is what I wrote down, so that you can correct anything I got wrong.

What I saw

- A pad-mount transformer at the northeast corner. Its nameplate reads 2,500 kVA. You told me the utility owns it.
- Main switchgear in the electrical room. Its nameplate reads 480 volts, 4,000 amps, three-phase. A single-line diagram dated 1988 hangs on the wall.
- The press hall floor is a slab on the ground. The two press pits were filled in 2019.
- About 26 feet to the lowest steel, from your drawings.
- A paved lot along the east side, roughly 150 by 350 feet by my pacing.
- One fiber marker post at the driveway.

These are observations. They are not conclusions. A nameplate is the size of the equipment. It is not what the utility will deliver today.

What you offered to look for

- Twelve electric bills from a full-production year.
- The original structural drawings in the flat file. Please keep them somewhere dry.
- Any record of how the press pits were filled.
- Any environmental reports, and any letters from the utility about the service.

What I will do next

By [date] I will send you a one-page summary of the five things a buyer would check, with what is known and what is not. I will show the photographs and my notes to no one without your say-so.

The questions I cannot answer. How much power the utility can deliver here, and whether the floor suits the equipment. The utility answers the first, in writing. A licensed structural engineer answers the second.

> Thank you again.
>
> [Name], [license type], [brokerage], [phone], [email]

3. The owner's load inquiry letter

Sample. Have your broker and attorney adapt it.

When to use it. After the brokerage agreement is signed. The owner signs and sends it. Chapter 4 lists the items and explains why the owner is the sender. If the owner wants help choosing the amount, the owner hires an electrical engineer for that.

Before it goes out. Ask the utility's business or large-customer desk who should receive it. Keep a dated copy.

> [Owner's company letterhead]
>
> [Date]
>
> [Utility name] Attention: [name or role given by the utility's business customer desk]
>
> **Re: Request for information on electric service capacity. [Street address]. Parcel number [number]. Former account number [number].**
>
> Dear [Name]:
>
> [Owner's company] owns the building at the address above. It operated as a printing plant under the account above until 2019. We are evaluating a new use for the building, and we ask for the utility's written answers to the questions below. This letter is a request for information. It is not an application for service.
>
> ### What is on the site today
>
> - One pad-mount transformer at the northeast corner of the building. Nameplate: 2,500 kVA. We understand it belongs to the utility.
> - Customer main switchgear. Nameplate: 480 volts, 4,000 amps, three-phase.
> - Photographs of both nameplates and a copy of our 1988 single-line diagram are enclosed.
> - Our records show a highest billed demand of 1,640 kW, in August 2016.
>
> ### Our two main questions
>
> 1. What demand can you serve at this address today, at the meter, with the facilities now in place?
> 2. What would be required to serve up to 4.0 MW of demand at the meter, and by what date could that service be energized?
>
> The figure of 4.0 MW is being explored. It is not a firm request. A possible ramp would be about 2.0 MW in the first year of operation and the balance in the second year. The load would run around the clock.
>
> ### Four further questions
>
> 1. Is any capacity still committed to this site from the former account?

2. At what voltage would you serve each of the two amounts above, and who would own the transformer?
3. Would a study be required for either amount? If so, what is the fee, and what would the customer be asked to pay toward new facilities?
4. Does your reply reserve any capacity for this site? If so, for how long?

Please reply in writing to the address below, and tell us who our contact should be for any later application.

We have authorized [agent's name] of [brokerage] to help us keep track of this request. Please address your reply to us.

Sincerely,

[Owner's name and title] [Owner's company, address, phone, email]

Enclosures: nameplate photographs (2); single-line diagram, 1988.

What to leave out. The word "data center" is the owner's choice. Some owners name the use, and some describe the load. Either way the letter must be true. Do not ask for more than the building and its yard can use. Do not copy a buyer on it.

4. The one-page building fact file

Sample. Have your broker and attorney adapt it.

When to use it. After the utility has replied. It is the summary page of the fact file in chapter 13. The owner sees it first and decides who sees it next. It goes to a buyer only after a signed non-disclosure agreement.

Building fact file: summary

Property: former printing plant, [street address], [county, state]. Parcel [number]. **Owner:** [company]. **Prepared by:** [agent], [brokerage]. **Date:** [date]. **Version:** 3.

Read this first. This page lists records, observations and open questions. It is not an engineering report, a survey, a title opinion or an appraisal. It states no conclusion about electrical capacity, structural adequacy, cooling or approvals. Every fact has a source and a date. Confirm each one.

	What is known (source, date)	What is not known	Who can answer
Building	60,000 sq ft, one story, built 1988 (county property record, [date]). Slab on the ground in the press hall; about 26 ft to lowest steel (owner's 1988 drawings, seen [date])	Present condition of roof and slab	Licensed engineers
1. Power	Utility transformer nameplate 2,500 kVA; customer main switchgear nameplate 480 V, 4,000 A, three-phase (photographed with owner, [date]). Highest billed demand 1,640 kW, August 2016 (owner's bills). **Utility's letter of [date]:** up to 2.0 MW of demand at the meter can be served with existing facilities, after a new service application and an equipment inspection. 4.0 MW would require a larger transformer and line work, set by a study. The letter reserves no capacity	Scope, cost and date for 4.0 MW. Condition of the 1988 switchgear	The utility, by study. A licensed electrical engineer and a testing firm

	What is known (source, date)	What is not known	Who can answer
2. Permits	Light industrial district (county zoning map, [date]). Use table lists "data processing facility" as permitted (code section [number], text attached). Minimal flood hazard (FEMA map panel [number], effective [date]). Nearest homes about 900 ft, across the rail line (aerial, [date])	How staff would classify the project. Standards for outdoor equipment and generators	Planning staff, in writing. A land use attorney
3. Structure	Original structural drawings exist (owner's flat file). Two press pits filled in 2019 (owner)	Slab capacity for any stated load. What the pits were filled with	A licensed structural engineer
4. Cooling	Paved lot on the east side, about 150 × 350 ft (paced, [date]). No cooling equipment suited to the new use is on the site	Easements and setbacks in the lot. Heat rejection layout	A surveyor. A licensed mechanical engineer
5. Connectivity	One fiber marker post at the driveway (photograph, [date]). Two providers reported at the address (FCC National Broadband Map, [date]; the map describes mass-market service)	Which carriers can serve the site, by which routes	The carriers, through a survey
Other	A former ink and solvent room with a floor drain (owner, [date]). No environmental report on file. Owner reports no mortgage and no option	Environmental condition. Title	An environmental professional. A title company

Attachments: A. Parcel record. B. Zoning text. C. Flood map panel. D. Nameplate photographs. E. Single-line diagram, 1988. F. Utility's letter of [date]. G. List of owner's drawings. *Electric bills are held by the owner and are not attached.*

Confidential. Provided under the non-disclosure agreement dated [date]. Do not contact the utility, planning staff or occupants about this property without the owner's written consent.

Check it before it leaves. No sentence says "can support", "available", "ready", "approved" or "pass". The utility's letter is described in the utility's words. Every number has a source and a date.

5. Non-disclosure agreement: outline

Sample. Have your broker and attorney adapt it.

When to use it. Before the fact file, the bills or the utility's letter go to a prospective buyer. The owner's attorney prepares the agreement. This outline lists the business points to raise with that attorney. It is not contract language.

Point	What to settle	Why it matters on these deals
Parties	The owner's company and the buyer's company, by legal name	The buyer may act through a new entity. The attorney confirms who is bound
One-way or mutual	Mutual	The buyer wants its name and its requirement kept quiet as much as the owner wants the bills kept private
What is confidential	The fact file, bills, utility correspondence, drawings, reports, and the fact that the parties are talking	Utility letters and bills are the owner's records
Permitted recipients	Employees, attorneys, engineers, lenders and brokers who need the information and are bound by the same terms	The buyer's engineers must be able to read the file
Permitted use	Evaluating this property and nothing else	
No contact	No contact with the utility, the planning office, tenants or neighbors about the property without the owner's written consent	One voice speaks to the utility at a time. Chapter 14 explains why
No obligation	Neither party is bound to make a deal	
Brokers	The buyer acknowledges who represents the owner	It supports the buyer registration
Term	A stated period	The attorney sets it
Return or destruction	Of records, at the end or on request	
Exceptions	Information already public, already known or required by law to be disclosed	Standard. The attorney words them
Governing law and signatures	An authorized signer for each party	

Your part. Make sure the agreement is signed and dated before the file goes out. Keep a copy with the buyer registration. Do not edit the agreement yourself.

6. Letter of intent: outline, with a utility contingency

Sample. Have your broker and attorney adapt it.

When to use it. When a registered buyer is ready to state terms. Either side may draft it, and both attorneys read it before anyone signs. This outline is for a purchase. For a lease, the same contingency logic applies, and the attorneys change the rest. It is a list of business points, not contract language. Every time period shown is an illustrative number, not market data.

Term	What the outline says	Why it is there
Parties	Buyer's purchasing entity; the owner's company	
Property	Parcel, building, fixtures, and the owner's drawings and records	The drawings have value. Name them
Price	[Amount]	Set by the parties. This book gives none
Deposit	[Amount], held in escrow by a title company	
Due diligence period	60 days from the signing of the purchase agreement (illustrative number, not market data). The buyer may inspect, test and study, and may end the deal and recover its deposit	Covers structure, electrical equipment, environmental, survey, title and zoning
Utility contingency	The buyer's duty to close depends on receiving, within 180 days of signing (illustrative number, not market data), a written offer of service from the serving utility for at least [3.9] MW of demand at the meter, with an in-service date no later than [date] and a customer cost no greater than [amount], or otherwise acceptable to the buyer. If it does not arrive, the buyer may end the deal and recover its deposit	The utility's study runs on the utility's clock. This clause lets both sides wait for the one answer that decides the deal
Extension	The buyer may extend the utility contingency once by [period], by making [amount] of the deposit non-refundable	Pays the owner something for holding the building
Deposit schedule	Refundable through due diligence. [Portion] non-refundable after it, except for a seller default or a failed utility contingency, as the parties agree	The attorneys set the exceptions

Term	What the outline says	Why it is there
Seller cooperation	The owner will sign a letter of authorization allowing the buyer and its consultants to apply to the utility and to speak with planning staff about the parcel, and will sign applications that need the owner's name. The buyer pays all fees	From this point the buyer speaks to the utility
Early access	The buyer's consultants may enter and test before the purchase agreement is signed, under an access agreement with insurance and a duty to repair	Lets the engineers start during exclusivity
Zoning and permits	The buyer may seek a written zoning verification. Any approvals the closing depends on are listed	Chapter 6 covers the question to ask
Environmental	The buyer may order a Phase I assessment and, if it recommends sampling, the sampling	Sampling may outlast due diligence. Say what happens then
Title and survey	A title commitment and a survey. A period for objections	Easements can take yard
Exclusivity	The owner will not negotiate with others for 45 days (illustrative number, not market data)	
Closing	[Number] days after the contingencies are satisfied or waived	
Brokers	The seller pays the commission under its listing agreement with [brokerage]. Each party states it has dealt with no other broker	It matches the brokerage agreement
Confidentiality	The non-disclosure agreement stays in force	
Binding effect	Confidentiality, exclusivity and access are binding on signing. All other terms are not binding until a purchase agreement is signed	The attorneys word this with care

Three things to check before the owner signs.

1. The megawatt figure says "at the meter". An IT load figure in this clause would leave the two sides arguing about a ratio.
2. The utility contingency runs longer than the due diligence period.
3. The brokers clause names your brokerage the way your agreement does.

The letter of authorization that follows the LOI is one page. The owner states that the named buyer and its named consultants may request information and apply for service for the parcel, gives a date on which the

authority ends, and says the owner is not agreeing to pay any fee or sign any service agreement. The owner's attorney writes it.